



EuroFoods S.A. — Management Summary

FY2024 PERFORMANCE REVIEW · FP&A ANALYSIS · DATA FOR FP&A 2026

Prepared by **FP&A Analytics**
Data as of: December 2024
Currency: EUR

REVENUE 2024 €2.36M +5.4% vs 2023	GROSS MARGIN 38.7% flat vs 38.8%	BUDGET VARIANCE -4.6% -€115k vs plan	Q3 2024 YOY +11.9% summer surge	2025 TO HIT €2.5M +5.8% vs +5.4% run-rate
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EXECUTIVE SUMMARY

EuroFoods grew revenue **+5.4% to €2.36M in 2024** (+€122k) while holding gross margin essentially flat at **38.7%** — healthy, broad-based growth led by a **+11.9% Q3 surge**. However, the company finished **4.6% (-€115k) below budget**, and critically the miss was **uniform across every country and category**. A price-volume bridge shows the entire shortfall is **volume** (-€226k over two years) with price/mix at virtually zero — i.e. the plan over-assumed units, not euros. The story is not weak execution but an over-optimistic top-down budget against a fundamentally sound, profitable business.

TOP 3 FINDINGS

- The budget gap is volume, not price**
Actuals are ~5% below plan in **all 3 countries and all 4 categories** (variance band -5.0% to -3.9%). The bridge attributes **-€226k to volume, ≈€0 to price**. This points to a planning-assumption error, not a commercial failure.
- Online is the slowest channel, not the fastest**
Against the usual e-commerce narrative, **Online grew only +4.9%** vs brick-and-mortar at **+6.0%**. **Supermarket (+5.9%)** is the real engine. Online — 22.6% of revenue — is underperforming its potential.
- Frozen Food is the structural margin drag**
Group margin is steady, but **all 5 Frozen Food SKUs sit below their 35% target**. It is the **largest category by revenue (€1.42M)** yet the lowest-margin band — a category-wide sourcing issue, not weak individual products.

RECOMMENDATIONS

- ACT NOW** **Re-baseline the 2025 budget**
Rebuild plan volumes on the actual run-rate, not the legacy +5% top-down assumption that missed every cell.
▲ Restores forecast credibility; removes the chronic ≈€115k/yr unfavorable variance
- GROW** **Push Supermarket & rehabilitate Online**
Reinvest behind the fastest channel (Supermarket) and fix Online's underperformance with promo & assortment.
▲ Online +20% nets +€68k (+2.9%) even after a -10% Convenience dip — covers the gap to €2.5M
- PROTECT** **Fix Frozen margin & hedge GBP**
Renegotiate Frozen Food sourcing to reach the 35% target; hedge sterling on the 27%-of-revenue UK book.
▲ +2pp on €1.42M ≈ +€28k GM; caps a ~6% EUR/GBP translation swing

RISKS & ASSUMPTIONS

- Budget premise:** recommendations assume the uniform ~5% gap is planning optimism, not demand erosion. If volumes are structurally declining, rebaselining masks a real problem — monitor the volume trend monthly.
- Scenario independence:** the Online +20% / Convenience -10% model treats segments as independent; real channel cannibalisation would reduce the +€68k net uplift.
- Margin & FX stability:** the €2.5M / forecast cases hold margin at 38.7% and assume no FX shock. EUR/GBP ranged 0.831–0.883 (~6%) over the period — a weaker pound directly compresses reported UK revenue (27% of the group).